

Delaying Gratification

One simple characteristic that can help your children succeed is their ability to delay gratification.

You want to start emphasizing the benefits of delayed gratification to family members at a young age. Family members need to understand how delayed gratification was key to building the family wealth in the first place. And they need to understand why delayed gratification is also necessary to continue growing and preserving wealth for the future.

This is even more important because of something family wealth advisers call “generational mathematics.” This is a fancy way of saying that families get bigger over time. And that family wealth gets eroded as families grow larger without becoming increasingly productive.

Also, when you take into account the setbacks, stock market crashes, business trouble, lawsuits, and taxes—never mind a black swan or two—you simply have to increase your wealth to give the same opportunities that you had to your children and grandchildren.

Mentoring and Internship Programs

From our business partner, Mark Ford, we learned that you always want to “pass it on.” You want to transfer your knowledge in a position or a skill to someone else so that they can take over when the time comes. That frees you up to move higher up on the ladder and attend to more important business.

This is completely the opposite of what many people think. Most people think they need to hoard their accumulated knowledge so that they become more valuable. Maybe they think it protects their jobs.

Even in a family setting, sometimes the “old man” doesn’t really want others to know anything about the business . . . or investing. A TV show called *Arrested Development* shows where this can lead. The show is a spoof on rich families who have businesses. The father is in jail for various crimes. The son wants to make it clear that he is now running the business. So he burns down his father’s favorite mini-store. Then the father reveals that he had hidden \$250,000 in cash in the store walls.